

9-1 Final Project Part II - Leadership Assessment

Ivan Roman



Abstract

This analysis focuses on various organizational leadership situations dealing with skills assessment, team-building, vision and culture, problem-solving, and conflict management. It includes:

- an analysis of various organizational leadership situations dealing with skills assessment, team-building, vision and culture, problem solving, and conflict management
- examples of specific leadership actions used by Zuckerberg to build and structure a productive organization and culture.

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Our textbook defines the Leader-Member Exchange Model as a unique working relationship with group members where one subgroup is accepted into a cohesive team but another group is excluded (DuBrin, 2015). This decision is based on the way a leader defines strong teamwork allowing those who are deemed as good teammates into the in-group while those who are perceived as not good at working with the team are relegated to the out-group. Team members that are part of the in-group are given more responsibilities and participate more in decision making while out-group team members only serve contractual obligations (DuBrin, 2015).

Team Building

According to a study conducted at Ohio State University, the two dimensions of leadership behavior are consideration for others and initiating structure. Zuckerberg's philanthropy gives insight into his consideration for humanity but it was his ability to initiate structure that allowed him to grow Facebook into the dominant social-media platform it has become. Initiating structure is the degree to which the leader organizes and defines relationships in the group with activities such as assigning tasks and specifying procedures (DuBrin, 2015). Zuckerberg also exhibits the entrepreneurial style of leadership which stems from his personal characteristics and the fact that he basically started the company himself.

According to an article by Sunnie Giles in the Harvard Business Review, a survey of 195 leaders in 15 countries revealed that having strong ethical standards and placing heavy emphasis on safety are the most important leadership traits (Giles, 2016). People want to be led by trustworthy individuals that care about the wellbeing of their followers. This is also relevant with regards to the LMX model because a major study found that positive leader-member exchanges

were associated with more communication about safety (DuBrin, 2015). Enhanced communication leads to more commitment to safety, which in turn led to fewer accidents on the job.

Best Practices

In her 2013 article for Entrepreneur online, Ekaterina Walter details some of the unconventional hiring practices Zuckerberg and his management team utilize to keep Facebook competitive. Walter explains that at Facebook, the right people are not those who have the right competency but instead the right attitude. Some of the most successful businesses have a nontraditional, strengths-based approach to hiring. The idea is to hire the best talent first and then worry about finding the right role for them (Walter, Lessons about Building a Team from Zuckerberg and Facebook, 2013).

Zuckerberg's dominant leadership traits include focus and passion which he disseminates throughout the organization. The company encourages its workers to form teams around projects they are passionate about because Zuckerberg clearly understand that great work comes out of doing what you adore (Walter, Lessons about Building a Team from Zuckerberg and Facebook, 2013). This approach ensure that employees give their best to the project and it also provides opportunities for career growth based on smarts and competence as opposed to credentials.

In a 2005 interview posted on Stanford's eCorner, Zuckerberg discusses the evolution of Facebook's founding team from a bunch of college friends to a large team of engineers, its changing dynamics, and his role as a leader in the company. Zuckerberg recalls the moment when he realized Facebook was no longer just a project his college roommates and himself were coding but had grown into an office of professionals with many diverse talents (Stanford

University , 2005). Zuckerberg has always been attracted to smart people and in the early days of the company he filled his offices with people that impressed him intellectually.

Examples

Ben Mezrich's book, *The Accidental Billionaires*, tells the story of how Mark Zuckerberg and his Harvard dorm mates founded the most influential social media network in the history of the world based on the concept of exclusivity. Zuckerberg founded the company to spite the elitists in the Harvard Final Clubs that would not accept him as a member of their in-group despite being approached by members of The Porcellian (the most prestigious Final Club) to work on a dating website. He was deemed a member of the outgroup (Mezrich, 2009).

When Zuckerberg created his own organization with Facebook, the same in-group/out-group dynamic was put into practice. Zuckerberg evaluated his close associates and tested their loyalty and resolve to see who was worthy of being part of the in-group and who would be forced out. Zuckerberg's business partner, Eduardo Saverin, was ousted for what Zuckerberg perceived as a lack of loyalty. Sean Parker also played a critical role in growing the Facebook brand but was also put into the out-group by Zuckerberg because of his notoriously excessive lifestyle. Dustin Moskovitz, Chris Hughes, and Andrew McCollum were all programmers that cofounded Facebook and because of their talent and loyalty, Zuckerberg made them integral members of the in-group within the organization.

Leadership Assessment

Our textbook mentions that having a vision is an integral part of strategic leadership (DuBrin, 2015). Mark Zuckerberg, the world's youngest billionaire, founded Facebook with his college roommates based on his visionary idea that exploited people's desire for social

hierarchies and elitism (Mezrich, 2009). In the early days of Facebook, Zuckerberg used unorthodox methods to get the results he wanted and that is still how he runs his empire.

In order for a leader to make effective use of organizational politics, they must be aware of specific tactics and strategies (DuBrin, 2015). The Facebook process of getting talent from all parts of the company to get together regularly, leverage their infrastructure and actually implement their ideas is a competitive advantage (Hanif, 2016). So by recruiting the best talent and empowering them by allowing for them to be creative, Zuckerberg is able to positively shape the culture at Facebook.

Leadership Analysis

In his 2012 article for Business Insider, Nicholas Carlson used firsthand accounts and publically released correspondence to try and understand what it was like to work for Zuckerberg in the early years of Facebook. Zuckerberg was known for being a cut-throat leader that was comfortable in his position and had no problems leading others (Carlson, 2012). Over the years, insiders at Facebook have consistently explained Zuckerberg's style as follows:

- Zuck expects debate.
- Zuck isn't sentimental.
- Zuck experiences things contextually.
- Zuck pushes people.

Facebook employees insist that Zuckerberg is not mean or autocratic, but also does not provide emotional coddling because he expects people to be confident in what they are doing.

Carlson referred to Yishan Wong's comments regarding whether or not it is difficult to work for Mark Zuckerberg. She explains that "Zuck" is not an overly charismatic personality who is easy to get along with. Instead, he is demanding and lives to ensure that Facebook

succeeds in its mission (Carlson, 2012). She confirms what many others have asserted:

Zuckerberg is difficult to read and sometimes listens to what you are saying without

acknowledging your comments. Wong goes on to say:

“I would characterize him as “tough but fair.” He's not a pain in the ass to work with if you're the type of person who is looking to achieve greater and greater things”

Analysis of Best Practices

Ben Mezrich details how Zuckerberg made decisions early in the history of Facebook that shaped the way the company was organized and would eventually get him sued for hundreds of millions of dollars. Zuckerberg founded the company with his college dorm mates including his best friend at the time, Eduardo Saverin (Mezrich, 2009). The initial startup capital injection in fact came from Saverin and he was Facebook's first CFO. It was not long before Saverin saw the potential for monetization of the highly popular social networking website which at this early point was only available at a few select private universities. This is where Zuckerberg began to push back.

It is now funny to think of Facebook without advertisements, but early on Zuckerberg was vehemently opposed to the idea (Mezrich, 2009). While his CFO was in New York City trying to sell ad space to executives on Madison Avenue, Mark was nurturing a relationship with Sean Parker that would eventually turn Facebook into a multibillion dollar enterprise. What Parker offered – what made him more appealing than Saverin – was his access to venture capitalists like Peter Thiel.

After Parker convinced Zuckerberg to pitch Facebook to Thiel, things moved very quickly. Thiel's venture fund, Clarium Capital, was an early investor in Facebook and the sizeable injection of capital made it so Zuckerberg didn't have to rely on selling ads on his social

network for them to expand operations. Based on that fact, Zuckerberg allowed Thiel and his lawyers to push Saverin out of the company. Lawyers from Clarium Capital reincorporated Facebook and divvied up ownership in a way that diluted Saverin's share to less than half of one percent. Facebook continued with Zuckerberg as CEO and Sean Parker as the first president of the company.

Application of Examples

Zuckerberg's key strategic business strategies are a preference for moving at high speeds, and gaining a competitive advantage through hiring talented people. In his 2016 article for The Huffington Post, Ali Hanif breaks down how Zuckerberg still uses one of his favorite methods to spur innovation and empower his employees – the Hackathon. Employees from all across the organization from different teams and locations come together to brainstorm and actually build some of the things they truly want and believe will make the experience for Facebook users better (Hanif, 2016).

Zuckerberg uses these events, which happen every couple of months and last for a few days, to unleash the creativity of his organization. He truly believes that by empowering members from all ranks and allowing their products to speak for themselves he is utilizing the most valuable asset any organization has – human capital. The key element of how Facebook stays competitive in the constantly evolving world of social media can be summed up by one core belief that dominates Hackathons: prototypes don't need to be polished, they just need to work in the beginning (Hanif, 2016).

Conflict and Teams

Our textbook states that changes in organizations as well as generational changes have increased the importance of conversations (DuBrin, 2015). Modern leadership networks must

include the peer, operational, personal, and strategic partnerships in order for an organization to effectively deal with conflicts. Some important elements of effective conflict resolution include:

- backing up conclusions with data
- being credible
- writing crisp, clear memos, letters, and reports

Listening is a fundamental management and leadership skill (DuBrin, 2015). It is critical for leaders to use straightforward language and to speak slowly and clearly. It is also important to focus on interests, not the positions opposing sides take when in conflict.

Problem Solving

Our textbook defines creativity as the production of novel, useful ideas and notes that creativity leads to innovation when those ideas are commercialized (DuBrin, 2015). This obviously makes creativity an extremely advantageous trait in any leader. Creative leaders are usually knowledgeable, passionate, possess superior cognition, and have a wide variety of interests. These traits often mean that creative leaders are intellectually nonconformist and typically think “outside of the box”.

Mark Zuckerberg fits the description of a creative leader. In his 2015 article for Business Insider, Richard Feloni described Zuckerberg’s goal of reading a new book every two weeks (Feloni, 2015). One title that especially resonated with “Zuck” was Creativity Inc. - the story of how Pixar Animation studio was founded. Zuckerberg wrote on his personal Facebook page: *“I love reading first-hand accounts about how people build great companies like Pixar and nurture innovation and creativity.”*

This shows that Zuckerberg is constantly seeking out new information and using new ideas to influence the way he approaches leadership at Facebook.

Nina Zipkin detailed how Zuckerberg explained his creative drive in her 2016 article for Entrepreneur. Zuckerberg is quoted as saying that entrepreneurship is about creating change as opposed to just creating companies (Zipkin, 2016). This novel idea deviated from traditional views of business and Zuckerberg was able to commercialize his revolutionary concepts with Facebook.

Conflict Management

Mark Zuckerberg utilizes the competitive style of conflict resolution. His desire is to achieve his own goals at the expense of the others and to dominate competition. He is known to engage in win-lose power struggles. Cynthia Johnson explained in her 2015 article in Forbes that Zuckerberg doesn't lose his cool when he's under pressure or in a stressful situation. Instead, he calmly approaches even the most difficult situations because anger doesn't breed success (Johnson, 2015).

It is widely known that Facebook experienced legal troubles in the early years when cofounder and CFO Eduardo Saverin sued Zuckerberg for getting him removed from the board and diluting his shares of the company stock. Ben Mezrich's book, *The Accidental Billionaires*, detailed how Saverin and Facebook president, Sean Parker, became embroiled in a heated conflict over the direction of the company (Mezrich, 2009). When Zuckerberg was forced to address the issue, he did not hesitate to act in his own best interest and forced Saverin out. Zuckerberg acted in a calculated and methodical manner that ultimately allowed him to further concentrate his power.

Application

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Huffington Post, Ali Hanif breaks down how Zuckerberg still uses one of his favorite methods to spur innovation and empower his employees – the Hackathon. Employees from all across the organization from different teams and locations come together to brainstorm and actually build some of the things they truly want and believe will make the experience for Facebook users better (Hanif, 2016).

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Conclusion

In her 2014 article for Inc.com. Ekaterina Walter describes some the leadership traits that Zuckerberg has displayed during his meteoric rise. Walter notes that the Facebook CEO is extremely passionate about his work and seems to completely immerse himself in work (Walter, 2014). His work ethic and ability to focus intensely on a project sets the tone for his organization

and inspires others to strive for perfection. This evidence supports the idea that Zuckerberg is a socialized charismatic leader. A true charismatic and transformational leader is highly concerned about human welfare and attaining organizational goals.

For the purposes of this exercise, I will assume that if Mark Zuckerberg were to complete the StrengthsFinder® assessment his top three leadership traits would be focus, analytical thinking, and achiever. While others start to wander down divergent avenues, people with strong focus talents stay on the main road. They help others avoid time-consuming distractions and keep everyone on point. People who are especially talented in the analytical theme search for reasons and causes. They have the ability to think about all the factors that might affect a situation. People who are especially talented in the achiever theme have a great deal of stamina and work hard. They take great satisfaction from being busy and productive (Gallup, 2016).

Both Zuckerberg and I share the achievement leadership trait. We both enjoy working hard and striving to reach a goal. Achievers especially need to make sure that things are in order and always double check to ensure that everything is going smoothly and according to plan. We also spend a lot of time preparing appropriate stories, vivid examples, graphic illustrations, or useful materials to share with teammates.

We differ when it comes to analyzing and focus on specific tasks. Although my self-assessment results did indicate that I possessed that analytical trait, it would be far more dominate in Zuckerberg's leadership style because of his ability to consider so many different factors that affect his organization. He also has the ability to focus his team more than I can, and that leadership trait has given him the ability to grow Facebook into a massive organization that dominates the internet.

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